

Vendor Contract Policy

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Purpose

This policy defines the clauses that must appear in every vendor services agreement before it may be approved by the Legal and Procurement teams.

Mandatory Clauses

Every vendor contract must include, at minimum: Parties, Scope of Work, Payment Terms, Deliverables, Confidentiality, Data Privacy, Information Security, Liability, Intellectual Property, Termination, Governing Law, and Dispute Resolution.

Payment Terms Requirements

Payment terms must specify the fee amount, invoicing cadence, payment due period (not to exceed 45 days), and any late payment interest rate.

Termination Requirements

Contracts must allow termination for convenience with no more than 90 days notice and termination for cause with a cure period of no more than 30 days.

Liability Requirements

Liability caps must be clearly stated and must carve out exceptions for gross negligence, willful misconduct, and breach of confidentiality obligations.

Dispute Resolution Requirements

Contracts must specify a dispute resolution mechanism, such as mediation or binding arbitration, prior to litigation, including the venue and administering body.

Intellectual Property Requirements

Contracts must state ownership of pre-existing intellectual property and any work product created during the engagement, including license grants if applicable.

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